

Contestant Number: _____

Time: _____

Rank: _____



MANAGERIAL ACCOUNTING (135) **STATE 2021**

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Short Answer (10 @ 1 point each) _____ (10 points)

APPLICATION KNOWLEDGE:

Problem 1: Cost of Production Rt (32 @ 1 point) _____ (32 points)

Problem 2: Cost of Goods Sold St (30 @ 1 point) _____ (30 points)

Problem 3: Variances (29 @ 1 point) _____ (29 points)

TOTAL POINTS _____ ***(131 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

1. Which of the following cost is usually a fixed cost in a manufacturing company?
 - A. Depreciation cost
 - B. Sales commission
 - C. Direct material
 - D. Utility cost

2. Which of the following cost is a mixed cost in a manufacturing company?
 - A. Depreciation cost
 - B. Sales commission
 - C. Direct material
 - D. Utility cost

3. Which costing system assigns cost by job number?
 - A. Overhead costing
 - B. Standard costing
 - C. Process costing
 - D. Job costing

4. Which of the following is an example of an industry that would use a job costing?
 - A. Pepsi
 - B. Oconto Yachts
 - C. M & M Candies
 - D. Ripon Good Cookie

5. The gross profit is _____.
 - A. the same as contribution margin.
 - B. sales minus variable costs.
 - C. sales minus cost of goods sold.
 - D. sales minus expenses.

6. The contribution margin percentage is calculated with which of the following formulas?
- A. $\frac{\text{Contribution Margin}}{\text{Net Sales}}$
 - B. $\frac{\text{Total Fixed Costs}}{\text{Contribution Margin Ratio}}$
 - C. $\frac{\text{Total Fixed Costs}}{\text{Net Sales}}$
 - D. $\frac{\text{Total Variable Costs}}{\text{Unit Variable Cost}}$
7. If the unit selling price is \$150, the unit variable costs is \$50, and the fixed cost is \$50,000, what is the break-even in units?
- A. 334 units
 - B. 1,000 units
 - C. 1,250 units
 - D. 500 units
8. Which of the following alternatives reflects the proper order of preparing components of the master budget?
- 1. Production budget
 - 2. Sales budget
 - 3. Direct materials budget
- A. 1, 2, 3
 - B. 2, 1, 3
 - C. 2, 3, 1
 - D. 1, 3, 2
9. A company manufactures welders. Last month's costs were:

Direct Materials	\$200,000
Direct Labor	\$100,000
Manufacturing Overhead	\$80,000

What were the conversion costs for the month?

- A. \$180,000
- B. \$300,000
- C. \$280,000
- D. \$380,000

10. A favorable variance occurs when _____.
A. actual sales are less than budgeted sales
B. actual sales are more than budgeted sales
C. standard costs are less than actual costs
D. none of the above
11. Direct labor variances will include...
A. Rate and time variances.
B. Flexible and static variances.
C. Activity and spending variances.
D. Rate and cost variances
12. The following information is for May's direct material costs.
Standard costs 1,000 lbs. at \$10
Actual costs 950 at \$10.10
Determine the usage (quantity) variance.
A. \$500 Unfavorable
B. \$500 Favorable
C. \$550 Favorable
D. \$550 Unfavorable
13. The following information is for May's direct material costs.
Standard costs 1,000 lbs. at \$10
Actual costs 950 at \$10.10
Determine the price variance in May.
A. \$95 Favorable
B. \$100 Favorable
C. \$95 Unfavorable
D. \$100 Unfavorable
14. Which of the following are prime costs?
A. Direct labor and overhead
B. Direct material and overhead
C. Direct material and direct labor
D. Selling and administrative
15. Which of the following are product costs?
A. Direct material, direct labor, and overhead
B. Selling and administrative
C. Sales commission
D. Product development and research

Short Answers

The following is a list of various costs of producing cookies. Classify each cost as:

(M) Direct Materials, **(L)** Direct Labor, **(O)** Overhead, or **(P)** Period Cost.

_____ 16. Flour

_____ 17. Sales commissions

_____ 18. Factory electricity costs

_____ 19. Quality control salary

_____ 20. Sugar

_____ 21. Oil used to lubricate mixing machines

_____ 22. Depreciation on office equipment

_____ 23. Advertising cost

_____ 24. Purchasing agent salary

_____ 25. Cleaning supplies for the factory

Problem 1: Cost of Production Report

Prepare a Cost of Production Report for the Mixing Department at Miller International Corporation by filling in the shaded boxes. Miller uses an average process cost accounting system. Material is added at the beginning of production. Here is the information needed for June. When units are completed, they're transferred to the cooking department.

Beginning Inventory 10,000 units		Added this period 30,000 units	
Material	\$19,000	Material	\$61,000
Labor	\$10,000	Labor	\$40,000
Overhead	\$20,000	Overhead	\$80,000

The mixing department completed 25,000 units. The ending inventory was 1/3 complete.

Miller International Corporation Cost of Production Report - Mixing Dept. For the Month Ended June 30, 2021				
	Whole Units			
Units charged to production:				
Beginning units				
Started this month				
Total units to account for				
		Equivalent Units		
		<u>Direct Mat</u>	<u>Conversion</u>	
Units to be assigned cost:				
Transferred out this month				
Ending WIP				
Total units to be assigned cost				
		Costs		
Costs		Direct Mat	Conversion	Total Costs
Unit costs:				
Costs of Beginning WIP				
Costs incurred this period				
Total costs				
Total equivalent units				
Cost per equivalent unit				
Costs allocated for completed and partial units:		Material	Conversion	Total
Transferred out this month				
Ending Inventory				
Total costs assigned by department				

Problem 2: Cost of Goods Sold Statement

Using the information below for March, calculate the Cost of Goods Sold for the period:

Purchases	60,000	Beginning Finished Goods Inventory	80,000
Beginning Raw Materials Inventory	25,000	Ending Finished Goods Inventory	67,000
Ending Raw Materials Inventory	30,000	Direct Labor	80,000
Beginning Work in Process Inventory	55,000	Applied Overhead is 300% of Direct Labor	

Cost of Goods Sold Statement For the month ended March 30, 2021		

Problem 3 – Variances

Calculate the Flexible Budget Performance Report.

	Actual	Flexible Budget
Sales	100,000	88,000
Direct Materials	30,000	28,000
Direct Labor	15,000	13,000
Indirect Materials	16,000	17,000
Property Tax	7,000	9,000
Depreciation	5,000	6,000
Property Insurance	1,000	1,500
Office Salaries	5,000	4,000

Flexible Budget Performance Report

	Actual	Flexible Budget	Flexible Budget Variance	(U or F)
Sales				
Variable Costs				
Contribution Margin				
Fixed Costs:				
Income from Operations				